IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - II, CHENNAI

CP(CAA)/17(CHE)/2021
In
CA/(CAA)/72(CHE)/2021

Under Sections 230 to 232 of the Company Act, 2013

In the matter of *Scheme of Amalgamation*

of

M/S. RB PROMOTORS PRIVATE LIMITED
CIN : U45206TN2014PTC095970
Reg.Off: 1, Shyam Court, 19/26, Judge Jambulingam Street, Mylapore, Chennai-600004 ***... Transferor Company***

AND

M/S. SAN LANDMARK PRIVATE LIMITED
CIN: U51909TN1991PTC021654
REG. OFF: New No.4, Old No.137, Chamiers Road, Nandanam, Chennai-600035 ***... Transferee Company***

And

Their Respective Shareholders and Creditors

Order Pronounced on 27th June 2022

CORAM

Per: JUSTICE (RETD.)S.RAMATHILAGAM, MEMBER (JUDICIAL)
ANIL KUMAR B, MEMBER (TECHNICAL)

For Petitioners: Mrs. Vidhya Sivakumar, PCS

ORDER

Per: ANIL KUMAR B, MEMBER (TECHNICAL)

The present Company Petition has been filed by the Petitioner Company above named for the purpose of the approval of the Scheme of Amalgamation of **M/s. RB PROMOTORS**

PRIVATE LIMITED *(hereinafter referred to as "Transferor Company")* and **M/s. SAN LANDMARK PRIVATE LIMITED** *(hereinafter referred to as "**Transferee Company**")* under Sections 230 to 232 and other applicable provisions of the Company Act, 2013 read with Company (Compromises, Arrangements and Amalgamations) Rules, 2016 (for brevity 'the Rules') (hereinafter referred to as the 'SCHEME') pursuant to the Scheme proposed by the Petitioner Company and the said Scheme is also annexed as 'Annexure - 10' to the typed set filed along with the Petition.

Accordingly, the Petitioner Company herein have sought the following reliefs;

Petitioner Company	Equity Shareholders	Preference shareholders	Secured Creditors	Unsecured Loan Creditors	Unsecured trade Creditors
Transferor Company	To dispense with	NIL	NIL	To dispense with	NIL
Transferee Company	To dispense with	NIL	To dispense with	To dispense with	NIL

2. 1ST MOTION APPLICATION – IN BRIEF

The Transferor and Transferee Company have filed the First Motion Application vide CA(CAA)/72(CHE)/2021, seeking directions for dispensing with the meeting of the Equity Shareholders and Secured Creditors And Unsecured Loan Creditors of the Transferor Company and also for the

Transferee Company. Based on such application moved under Sections 230 to 232 of the Company Act, 2013; directions were issued by this Tribunal, vide order dated 24.12.2021 wherein all the meetings of the Equity Shareholders and Secured Creditors and Unsecured Loan Creditors and Unsecured Trade Creditors of the Transferor Company and also for the Transferee Company were dispensed with and the Applicant Company were directed to present the Company Petition on or before 14 days from the date of receipt of the certified True Copy of the order. Subsequently the second motion petition was filed before this Tribunal by the petitioner Company on 19 January, 2022.

3. RATIONALE OF THE SCHEME

3.1. The rationale and benefits of the Scheme as submitted by the Learned Authorized Representative for the Petitioner Company would *inter alia* result in the following benefits;

3.1.1 Currently, Transferor Company has no business operations, other than holding leasehold rights of the Land at Amur village. It does not have any business plans going forward. It is, accordingly, desired to merge with Transferee Company.

3.1.2 Transferee Company is engaged in the business of developing and constructing housing and industrial projects It is expected to result in synergies in business activity and more effective and efficient management of business affairs.

Apart from the above, the merger would also have the following benefits:

3.1.3 Reduction in the cost of overheads and improvement in professional management.

3.1.4 Reduction in multiplicity of legal and regulatory compliances and simplification of group structure.

3.1.5 Enhance the scale of operations thereby providing significant impetus to the growth of the Companies, since they are engaged in line of business that could draw upon synergies between the Transferor Company and the Transferee Company.

3.1.6 Consolidation of Transferor Company with the Transferee Company by way of merger would lead to a more efficient utilization of capital and improved financial structure.

3.1.7 The benefit of consolidation of financial resources, managerial and technical expertise of the Transferor Company and the Transferee Company shall be available to the amalgamated entity leading to the overall optimization of operational and administration costs.

3.1.8 The merger will rationalize and optimize the group legal entity structure to ensure greater alignment of the businesses by reducing number of legal entities and also statutory compliances.

3.1.9 To achieve synergies in business activity, consolidation, focused attention, centralized administration, economy of operation, integrated business approach and greater efficiency.

4. In the second motion application filed by the Petitioner Company, this Tribunal had directed the Petitioner Company to issue notices to the Statutory / Regulatory Authorities viz. (i) Regional Director, MCA (ii) Registrar of Company, Chennai, (iii) The Income Tax Authorities, (iv)Official Liquidator, as well as for paper publications to be made in "Business Standard", English (All India Edition) and "Makkal Kural" Tamil (Tamil Nadu Edition)

5. In compliance with the said directions issued by this Tribunal, the Petitioner Company had filed an affidavit of service in relation to the compliance of the order passed by the Tribunal as noted above and a perusal of the same discloses that the Petitioner Company have effected paper publications as directed by the Tribunal in "Business Standard" (All India Edition) in English and "Makkal Kural" (Tamil Nadu Edition) in Tamil on 7th April, 2022. It is also seen that notices have been also served to (i) Regional Director, Southern Region, Chennai on 24th April, 2022 (ii) Registrar of Company Chennai on 24th April, 2022 (iii) Income Tax Department on 24th April, 2022 (iv) Official Liquidator on 24th April, 2022 and the proof of the same by way of affidavits have been enclosed with the typed set filed along with the Petition. Pursuant to the service of notice of the petition the following statutory authorities have responded as follows:

6. STATUTORY AUTHORITIES

6.1. REGIONAL DIRECTOR

6.1.1 The Regional Director *(hereinafter referred to as 'RD')* Chennai to whom the notice was issued has filed his Report dated 26th April, 2022 before this Tribunal and has stated that Clause 11 of Part VI of the Scheme provides for the protection of the interest of the employees of the

Transferor Company. It was further observed that as per the report of RoC, Chennai, the Transferor Company and Transferee Company are regular in filing their statutory returns and has reported that there is no prosecution / Inspection or Investigation is pending against the Company.

6.1.2. Further the RD has observed that Clause 18 of Part VI of the Scheme has stated that the Transferee Company shall issue and allot to the shareholders of Transferor company (i) 01 fully paid Equity Share of Rs. 10 each held by them in the transferor Company: (ii) issue and allot 0% Redeemable Preference Shares of Re.1 each redeemable in 10 years, credited as fully paid up in the Transferee Company equivalaent to the outstanding debt held by such creditor in the transferor Company, as consideration upon effectiveness of the Scheme of Amalgamation.

6.1.3. Further the RD has observed that Clause 20 of Part VI of the Scheme provides for clubbing of Authorized Share Capital of the Companies, as such the Authorized Share capital of the Transferor Company shall stand be altered and merged with the Authorized Share Capital of the Transferee Company. Clause V of the MOA of the Transferee Company shall be altered as the Authorized Share Capital of

the Company shall be Rs.7,50,00,000 divided into 70,89,317 equity shares of Rs. 10/- each and 41,06,830 Preference Shares of Re.1/- each and in the said circumstances sought for a direction to the Transferee Company to remit the difference of fee, if any, in accordance with Section 232(3)(i) of the Companies Act, 2013 and to file the amended MoA and AoA with the RoC, Chennai for its record. Apart from the above, the Regional Director has not made any objection to the Scheme.

6.2. **OFFICIAL LIQUIDATOR**

6.2.1 In relation to the Official Liquidator *(hereinafter referred to as 'OL')* to whom the notice was issued in the second motion has filed the Report before this Tribunal on 27th April, 2022 and has stated that they have appointed M/s. A J Deora & Associates., Chartered Accountants, one of the firms of Chartered Accountants from the panel maintained by their office to verify into the affairs of the Transferor Company M/s. A J Deora & Associates., in their report submitted before the Official Liquidator have observed as follows

- The Transferor Company are maintaining proper books of accounts and statutory records as per

requirements of the Company Act, 2013 prescribed and no discrepancies were noted.

- Further report that the Transferor Company have not accepted any deposits from the public under the provisions of Sections 73 to 76 of the Company Act, 2013.

- The appointed Chartered Accountant firm has examined the records and documents of the registers of the Registrar of Company, Chennai and nothing adverse or objectionable affecting the interest of the Transferor Company or its members or prejudicial to the public interest was noticed.

- From the verification, the appointed Chartered Accountant firm has found that the Transferor Company have been regular in payments of all statutory dues. The appointed Chartered Accountant firm is of the opinion that there are no statutory dues or any other dues payable by the Transferor Company as referred in the Auditor's report on the financial statements for the respective years.

6.2.3. From the above observations made by M/s. A J Deora & Associates., the Official Liquidator sought to take on record and consider the report of the appointed Chartered Accountant firm and has also sought to fix the remuneration

payable to the Chartered Accountant firm who has investigated into the affairs of Transferor Company. In this regard, this Tribunal hereby directs the Transferor Company to pay a sum of ***Rs. 50,000./- (Rupees Fifty Thousand only)*** **to the Official Liquidator** for the payment of fees payable towards the appointed Chartered Accountant firm who has investigated into the affairs of the Transferor Company.

6.3 INCOME TAX DEPARTMENT

6.3.1 In spite of notice having been served to the Income Tax department by the Companies on 09.12.2021, there was neither any representation nor any report filed by the said authorities. In the said circumstances as per section 230(5) of the Companies Act, 2013, this Tribunal presumes that the said Department does not have any objection to the sanction of the Scheme.

6.3.2 However, in Company Petition CAA-284/ND/2018 vide Order dated 12.11.2018, the NCLT New Delhi with a view to protect the interest of the revenue, has made the following observations with regard to the right of the IT Department in the Scheme of Amalgamation,

"taking into consideration the clauses contained in the Scheme in relation to liability to tax and also as insisted upon by the Income Tax and in terms of the decision in RE: Vodafone Essar Gujarat Limited v. Department of Income Tax (2013)353 ITR 222 (Guj) and the same being also affirmed by the Hon'ble Supreme Court and as reported in (2016) 66 taxmann.com.374(SC) from which it is seen that at the time of declining the SLPs filed by the revenue, however stating to the following effect vide its order dated April 15,2015 that the Department is entitled to take out appropriate proceedings for recovery of any statutorily dues from the transferor or transferee or any other person who is liable for payment of such tax dues the said protection be afforded is granted. With the above observations, the petition stands allowed and the scheme of amalgamation is sanctioned."

6.4. OTHER STATUTORY AUTHORITIES

In relation to the other statutory authorities to whom notices have been issued, neither they have filed any reply nor raised any objections to the Scheme and in the circumstances, this Tribunal presumes that other statutory authorities viz. the Income Tax Department, do not have any objection to the sanction of the Scheme.

7. VALUATION REPORT

The Learned Authorized Representative for the Petitioner Company invited the attention of this Tribunal to the Valuation Report obtained from Ms. Swati Chaturvedi, Registered Valuer dated 23rd March, 2021, wherein it has

been recommended by the independent Registered Valuer as follows

"For every 10 equity shares @ Rs. 10 each of M/s RB Promotors Private Limited 1 Equity Share @ Rs. 10/- of M/S San Landmark Private Limited will be allotted."

8. **ACCOUNTING TREATMENT**

The Learned Authorized Representative for the Petitioner Company have stated that the Statutory Auditors of the Petitioner Company have examined the Scheme and has certified that the Petitioner Company have complied with proviso to Section 230(7) / Section 232(3) of Company Act, 2013 and the Accounting Treatment contained in the Scheme is in compliance with the applicable Indian Accounting Standards. The certificates issued by the Statutory Auditors certifying the Accounting Treatment of the Petitioner Company are placed as Annexure – 13 in the typed set filed along with the Petition.

9. **OBSERVATIONS OF THIS TRIBUNAL**

9.1. After analysing the Scheme in detail, this Tribunal is of the considered view that the Scheme as contemplated amongst the Petitioner Company seems to be *prima facie* beneficial to the Petitioner Company and will not be in any way detrimental to the interest of the shareholders or creditors of the Petitioner Company. In view of the absence of any other objections having been placed on record before

this Tribunal and since all the requisite statutory compliances having been fulfilled, this Tribunal sanctions the Scheme appended as Annexure "10" with the Company Petition as well as the prayer made therein.

9.2. The Learned Authorized Representative for the Petitioner Company submitted that no investigation proceedings are pending against the Transferor Company and Transferee Company under the provisions of the Company Act, 1956 or the Company Act, 2013 and no proceedings against the Petitioner Company for oppression or mismanagement have been filed before this Tribunal or erstwhile Company Law Board.

9.3. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the Petitioner Company.

9.4. While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

10. **THIS TRIBUNAL DO FURTHER ORDER:**

(i) That all properties, right and interest of the Transferor Company shall, pursuant to section 232(3) of the Company Act,2013 without further act or deed be transferred to and vest in or be deemed to have been transferred and vested in the Transferee Company with effect from the Appointed Date.

(ii) That all the liabilities, powers, engagements, obligations and duties of the Transferor Company shall pursuant to Section 232(3) of the Company Act,2013 without further act or deed be transferred to the Transferee Company and accordingly the same become the liabilities and duties of the Transferee Company with effect from the Appointed Date.

(iii) That the Appointed date for the Scheme shall be **1st April 2021** as specified in the Scheme.

(iv) That all proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company.

(v) That all the employees of the Transferor Company in service on date immediately preceding the date on which the Scheme finally takes effect shall become the employees of the Transferee Company without any break or interruption in their service.

(vi) That the Transferee Company do without further application allot to such members and the unsecured creditors of the Transferor Company, as have not given

such notice of dissent, as is required by Clause 18 of Part IV of the Scheme herein the shares in the Transferee Company to which they are entitled under the said Scheme.

(vii) That the Transferee Company shall file the revised Memorandum and Articles of Association with the Registrar of Company, Chennai and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee Company after setting off the fees paid by the Transferor Company.

(viii) That the Transferor Company and the Transferee Company, shall within Thirty days of the date of receipt of certified copy of this order cause such certified copy to be filed with the Registrar of Company in e-Form INC-28 and on such certified copy being so filed, the Transferor Company shall be dissolved and the Registrar of Company shall place all documents relating to the Transferor Company registered with him on the file kept by him in relation to the Transferee Company and the files relating to both the said Petitioner Company shall be consolidated accordingly.

11. Accordingly, the Company Petition stands **Allowed** on the aforementioned terms.

-SD-

ANIL KUMAR B
MEMBER (TECHNICAL)

-SD-

JUSTICE (RETD.)S.RAMATHILAGAM
MEMBER (JUDICIAL)